

The Halo Effect

ON DECEMBER 18, 2015, billionaire real estate mogul Sam Zell said, “There is a high probability that we are looking at a recession in the next 12 months.”⁴ The culprit, he told Bloomberg TV, was the strong dollar and slowing global trade, the beginnings of layoffs at multinational companies, and a general lack of consumer demand.

Market bears dutifully repeated the forecast, as did the mainstream media. Let’s use this as an opportunity to look at the risks *any* forecaster presents to investors.

Zell was a legendary real estate investor. His track record as an opportunistic buyer of “distressed properties” was outstanding. Few understood when to buy or sell real estate better than he. He earned the nickname “Grave Dancer” in the ’70s, when he penned an article attributing his success “*to dancing on the skeletons of other people’s mistakes.*”⁵

But as a forecaster, he was no better than anyone else. His 2015 warnings of a looming recession turned out to be off by five years—there would not be a recession until the Covid-19 pandemic caused one in 2020—and by then, both stock and real estate markets were appreciably higher.

But it reveals two issues: First, people who achieve outstanding success in one sphere are often emboldened to make broad pronouncements in another. (More on *epistemic trespass* in later chapters.) Second, listeners find these forecasts incredibly seductive. Impressed by business success, we tend to believe these forecasts, often to our financial detriment.

Blame the *halo effect*: The tendency to see a person’s success or positive traits in one field spill over into unrelated areas. The term was coined by Edward Thorndike⁶ in the 1920s, but it rose to prominence in 2007.⁷

Zell’s 2015 recession forecast was not his first. “We’re Heading for Recession,” he said three years earlier in October 2012.⁸